

- What are reasonable expectations for different asset classes during retirement?

*(E)motional Comfort:*

- How much short-term market volatility can you stomach before it starts affecting your sleep with undue stress or causes you to panic and sell stocks after a market downturn?
- What is your longevity risk aversion? How worried are you about outliving your assets? How strongly do you wish to avoid spending reductions in the event you live well beyond your life expectancy?
- Can you stick to the spending and investment objectives for your financial plan without being strongly tempted to overdo things or arbitrarily change course?
- Are you vulnerable to making other behavioral mistakes that could harm the long-term prospects for your financial plan?
- How complex is the financial plan? Can it run on autopilot or be facilitated by a trusted financial professional, or does it require ongoing complex decision-making on your part?
- How financially savvy are different members of your household? Would surviving household members be able to carry on financially if you were incapacitated due to illness or death?

In answering these Retirement CARE questions, a more conservative retiree will experience some of the following characteristics:

- fewer reliable income sources outside the investment portfolio to help cushion the impact of market volatility on lifestyle,
- lower flexibility to make spending reductions because spending goals are fixed and adjust with inflation,
- fewer reserves, buffer assets, or insurance policies to help cushion spending shocks,
- a greater desire to build in a margin of safety for the financial plan,